



The Morning Brief

MAY 6, 2026

AMD Validates

Data Center +57% beat reframes the AI sleeve as Trump pauses Hormuz operation on Iran deal progress.

SPY	AMD (AFTER HRS)	BRENT (BNO)	BITCOIN (IBIT)	FEAR & GREED
\$723.77 ↑0.80%	~\$414 ↑~16.5%	\$58.18 ↓3.24%	\$46.28 ↑1.94%	46 · Fear

SECTION 01

Markets

AMD BEATS ACROSS THE BOARD — DATA CENTER +57% REPRICES THE IOWN GROWTH SLEEVE

AMD reported Q1 after Tuesday's close at \$1.37 EPS on \$10.3B revenue, ahead of the \$1.29 EPS / \$9.84B consensus per CNBC and Investing.com compilations. The Data Center segment was the clean print: \$5.78B, up approximately 57% year-over-year, driven by EPYC server CPU strength and continued Instinct GPU ramp per company materials. Q2 guidance was set at approximately \$11.2B against roughly \$10.5B Bloomberg consensus, with management indicating server CPU revenue growth above 70% year-over-year. Bernstein lifted its price target to \$525 from \$265 per Bloomingbit. AMD closed the regular session at \$355.26 (+4.02%) and traded near \$414 in after-hours, an indicated open of approximately +16.5%. The IOWN AI-edge cohort had already led Tuesday's tape ahead of the print: LRCX +6.66%, CRDO +7.50%, MRVL +3.11%, KEYS +1.30%, and the broader semi sleeve carried the move. The data-center revenue acceleration is the cleanest validation to date of the physical-world AI infrastructure thesis underpinning the growth sleeve.

TAPE BROADENS TO SMALL CAPS AND CYCLICALS — RUSSELL +1.68% OUTPACES THE INDEX COMPLEX

Tuesday's session saw SPY add 0.80% to \$723.77, Nasdaq +1.30%, Dow +0.69%, and Russell 2000 +1.68% — the small-cap outperformance is the meaningful tell. Tech (XLK) led at +2.21%, Materials (XLB) +1.74%, Industrials (XLI) +0.84%, while Energy (XLE) finished essentially flat at +0.10% as crude rolled over. CAT printed +3.41% to \$904.59 on a fresh record per IBD coverage. STLD added 3.32% on continued steel-cycle commentary, and FCX gained 3.80% on the copper-deficit thesis. QCOM was Tuesday's top IOWN mover at +10.79% to \$186.55 on the company's fiscal-Q2 print — \$2.65 EPS on \$10.6B revenue, a \$20B buyback authorization, and CEO commentary on a hyperscaler data-

center chip win per CNBC and Benzinga reporting. The breadth signal is constructive: when small caps lead and cyclicals participate alongside semis, the rally is no longer a narrow AI-edge phenomenon. Pre-market futures extend the move modestly, with S&P futures +0.29% and Nasdaq futures +0.62%–0.75% per CNBC and Investing.com data.

CRUDE ROLLS OVER ON HORMUZ PAUSE — ENERGY SLEEVE FACES COMPRESSION PRESSURE

Brent (BNO) declined 3.24% to \$58.18 and WTI (USO) dropped 2.33% to \$144.17 after Trump announced Tuesday that Operation Project Freedom would be paused, citing progress on a comprehensive agreement with Iran per CNBC, NBC News, and Al Jazeera coverage. The reversal came

roughly twenty-four hours after the operation's formal launch and represents a material shift in the energy-supply premium framework. Gold (GLD) advanced 0.86% to \$418.27 on dollar weakness consistent with a more dovish geopolitical posture. The IOWN integrated-energy sub-sleeve (CVX, VLO, OKE, CTRA, CNX) faces the inverse of Monday's setup: refining margins remain supported by elevated absolute prices, but the war-risk premium — estimated by various sell-side desks at \$14–\$18 per barrel earlier in the cycle — could compress further if the Iran framework holds through the Trump-Xi Beijing summit on May 14–15. CVX printed +0.19% to \$192.64 Tuesday; CTRA was –0.64% to \$35.63 ahead of Thursday's S&P 500

exit and Devon merger close. Carson's SPY \$645.80 support remains active and well below current levels, providing a wide retracement window if the tape reverses materially.

AMD Q1	\$1.37 EPS · \$10.3B rev · DC \$5.78B (+57% YoY)
AMD Q2 GUIDE	~\$11.2B vs ~\$10.5B consensus
QCOM TUESDAY	\$186.55 · ↑10.79% · \$20B buyback · Hyperscaler win
CRUDE	BNO ↓3.24% · USO ↓2.33% · Hormuz pause
RUSSELL 2000	↑1.68% · Small-cap leadership
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested

When AMD's data-center revenue accelerates to 57% growth and Q2 guidance lifts \$700M above consensus, the AI infrastructure thesis is no longer a narrative — it is an earnings-validated cash-flow story. Combine that with crude rolling over on a credible diplomatic track, and the question for the committee shifts from “is the rally sustainable” to “where does breadth go from here.” The physical world matters.

Geopolitics

PROJECT FREEDOM PAUSED — TRUMP CITES “GREAT PROGRESS” ON A COMPREHENSIVE IRAN AGREEMENT

President Trump announced Tuesday that the Hormuz convoy operation would be paused for a brief window to allow a potential agreement with Iran to be finalized, citing what he characterized as material progress toward a complete and final framework per CNBC, NBC News, Al Jazeera, and Bloomberg coverage. The reversal arrived less than thirty-six hours after the operation’s formal launch on Monday, during which CENTCOM forces sank six Iranian boats, the Korean-flagged HMM Namu suffered an explosion in transit, and the UAE reported being struck by Iranian ballistic missiles, cruise missiles, and drones per CBS News and ABC News reporting. Iran’s foreign minister stated separately that Tehran is pursuing a comprehensive agreement framework with Washington per Reuters, the strongest diplomatic-language signal from the Iranian side since the April ceasefire. The Pakistan-mediated channel reportedly remains the principal communication mechanism. The committee may reasonably treat the pause as a tactical de-escalation rather than a structural resolution: the underlying questions on uranium custody, sanctions, and Hormuz governance remain unsettled, and a second escalation cycle would arrive against a thinner war-risk premium in crude.

CHINA’S MEDIATING POSTURE SETS UP THE MAY 14–15 TRUMP–XI BEIJING SUMMIT

Iran’s foreign minister met his Chinese counterpart in the run-up to Trump’s scheduled May 14–15 Beijing visit per Reuters reporting, and earlier coverage from Newsweek and Asia Times indicated that Beijing has signaled openness to taking custody of or down-blending the roughly 970 pounds of enriched uranium that Washington has identified as a precondition for any final framework. The diplomatic architecture is becoming more multilateral than the original direct-channel format suggested. For the IOWN portfolio, the timing is notable: should a comprehensive announcement coincide with the Xi summit, the energy sleeve’s war-risk premium compresses sharply against the AI-infrastructure

sleeve’s validated growth trajectory. The defense exposure (LMT, GD) remains a hedge against framework breakdown; LMT printed –1.78% Tuesday to \$508.93, consistent with the de-escalation read.

PROJECT FREEDOM	PAUSED · Trump cites progress on Iran deal
UAE	Reported struck Monday with missiles & drones from Iran
IRAN POSTURE	FM signals comprehensive-agreement track
TRUMP–XI SUMMIT	May 14–15 Beijing · China mediating role
CRUDE	BNO ↓3.24% · USO ↓2.33% on pause
GOLD	GLD ↑0.86% · Dollar softer on de-escalation

On Our Radar

1. AMD's Q2 guide reframes the entire IOWN AI-edge sleeve — the read-through into NVDA, MRVL, NXPI, KEYS, LRCX, and CRDO is the principal forward driver. AMD's guidance of approximately \$11.2B in Q2 revenue against ~\$10.5B Bloomberg consensus implies that hyperscaler capex commitments remain intact even as the energy-supply premium compresses. Server CPU revenue growth above 70% year-over-year was the explicit management call per the earnings transcript covered by Investing.com and Moomoo. NVDA reports later in May; the AMD print materially reduces the bar that NVDA must clear to validate the sleeve. CRDO's 7.50% advance Tuesday to \$193.57 reflects the connector read-across; LRCX's 6.66% move to \$275.80 picks up the wafer-fab equipment positioning. *Research Reveals Opportunities.*

2. ADP Employment Change at 7:15 AM CT is the first April labor read — consensus 99K versus 62K prior, with the ISM Services Employment subindex contracting again as a contextual headwind. Per the data drop, ADP Employment is expected at 99K against 62K prior. The April ISM Services PMI printed 53.6 from 54.0 with employment contracting for a second consecutive month per Trading Economics summaries of the May 5 release; the soft labor signal sits in tension with the broader economic activity reading. Treasury Refunding announces at 7:30 AM CT and Fed Musalem speaks at 8:30 AM CT — the front-loaded macro calendar will frame whether the small-cap leadership signal can extend. Rate-sensitive IOWN holdings (NEE, BKH, ATO, DGX) carry the principal sensitivity to a softer ADP read. *Think Like an Owner.*

3. ATO, FTNT, and BKH report Q1 today — three IOWN holdings on a single day with very different read-throughs.

ATO consensus is approximately \$3.43 EPS per the data drop, with the regulated-utility framework intact and the rate-sensitive valuation supported by the Tuesday TLT advance to \$85.43 (+0.55%). FTNT consensus is approximately \$0.63 EPS on revenue near \$1.73B per Zacks and Yahoo coverage; the Sovereign SASE adoption and OT-security large-deal commentary are the principal forward markers, particularly given the zero-day vulnerability overhang earlier this cycle. BKH consensus is approximately \$1.86 EPS, with the regulated electric and gas-utility commentary the primary watch point given the broader rate-cycle uncertainty. *Avoid Erosion.*

4. Fear & Greed sits at 46 (Fear) despite the +0.80% SPY advance — the divergence is worth observing, not extrapolating. The index reading slipped from 50 (Neutral) on Monday to 46 (Fear) Tuesday, even as the tape advanced and breadth broadened. The signal likely reflects continued positioning caution among the put-call and volatility contributors to the gauge rather than a fundamental concern. The pre-market futures advance into Wednesday and the AMD after-hours move suggest the gauge will rebuild toward neutral as the session progresses. The reading is consistent with a market that has not yet repriced for the combined AI-validation and Hormuz-de-escalation setup. **Simplicity Over Complexity.**

5. Bitcoin reclaims the \$80,000 handle on combined ETF inflows and the Iran de-escalation — IBIT and ETHA carry the digital-sleeve forward exposure.

Bitcoin traded above \$80,000 in Asian session per CoinDesk and Bitcoin Magazine reporting, with spot-ETF flows reportedly running near \$630M on Friday per the same sources. IBIT printed +1.94% to \$46.28 on Tuesday with H:\$46.33, ETHA +0.73% to \$17.90. COIN slipped 2.58% to \$197.75 on a separate company-specific story regarding workforce reductions, per Finnhub coverage; HOOD added 0.63% to \$77.03. The digital-sleeve thesis remains intact: Bitcoin's recovery is consistent with risk-on conditions, and the structural positioning via IBIT/ETHA captures the asset-class move without the company-specific operational variance.

6. CTRA exits the S&P 500 tomorrow on the Devon merger close — the index rebalance window closes the Coterra chapter for the IOWN energy sleeve.

Veeva Systems replaces Coterra Energy in the S&P 500 prior to Thursday's open per S&P Dow Jones Indices and Yahoo coverage, with the Devon all-stock combination targeted to close on or around May 7. CTRA closed Tuesday at \$35.63 (−0.64%) ahead of the index-tracker rebalance flows. Per Yahoo coverage, Devon missed Q1 profit estimates ahead of the close. Shareholders receive 0.70 Devon shares per CTRA share at the close, materially reshaping the IOWN integrated-energy sub-sleeve's composition. The Permian consolidation thesis remains validated; the post-merger Devon position will carry forward exposure to the broader US shale framework. *Think Like an Owner.*

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